Presents

Lead Line Trendlines

(Trendlines Drawn On The DPI)

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Lead Line Trendlines

We are familiar with trendlines drawn on the price chart, but how many traders can draw a tradable trendline on an indicator?

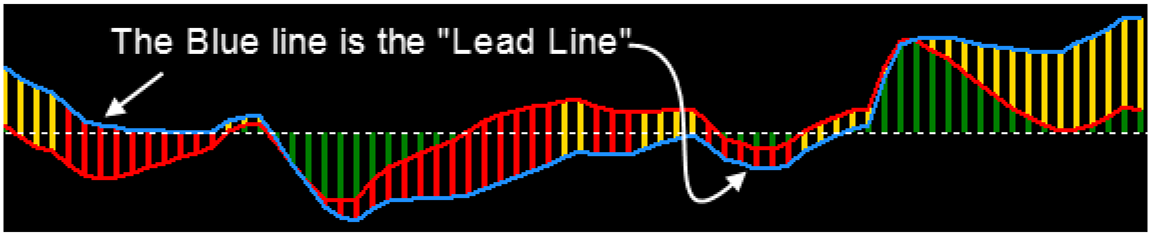
We are going to do just that, we will use the blue Lead Line on the DPI to draw trendlines and from there we will get signals we can apply to the market.

Is there no end to the awesomeness that is the DPI?

The Trendlines we draw will essentially be counter trend in manner. As the market is climbing, we will be looking for a trendline of support on the DPI. Once the support no longer holds on the DPI, we have a good indication that the market is going to also drop.

The inverse applies to the falling market. As we would draw a trendline across the tops of the market to find out angled line of resistance, we would do the same on the DPI. Once the resistance fails and the DPI breaks through upwards, we can get the impressions that the market will do something similar and also climb.

We will be analyzing the blue Lead Line of the DPI.



The Lead Line reflects price action pretty closely, but will also give us the inside edge when it comes to potential market pullbacks or small reversals.

We don't use the red Follow Line when we look for changes in the market direction. The Follow Line is more mathematically inclined and is great at predicting upcoming failure in the market direction. The key word is "upcoming" failure. It has predictive qualities that are unbeatable when applied with other indicators like the 13 EMA or the Zero Line on the DPI.

When trading any market, often it is timing that will make the difference between a winning and a losing trade. The Follow Line is a little quicker than we need for this application and will be too far ahead for the timing we need.

The Lead Line, on the other hand, has as close to perfect timing for this as we can ask for.

Counter-Trend

Looking to the Lead Line for trade signals is going to be against the trend.

- When the market is moving up, we will be looking to trade short.

- When the market is moving down, we will be looking to trade long.

We will be drawing trendlines on the Lead Line like we would on the price. We will be looking for highs and lows to connect on the DPI just like we would look for highs and lows to connect on the price chart.

Using ht DPI in this manner will often get us into trades before any traditional RRM signal. The Lead Line Trendline setups can be traded without the moving averages.

The Lead Line Trendline is considered an "additional trading strategy", one that we can use to either confirm RRM signals or trade independently. You will find that Lead Line Trendline (LLT) setups will trigger entries much earlier than RRM will, so using RRM moving averages aren't necessary for these setups.

Chart Setup

The way I like to have my charts set up for the LLT methodology is simply add the DPI to a black candlestick chart, no moving averages or PSAR. The DPI should be the opened version, the one that shows the green nested histogram and the Zero line.

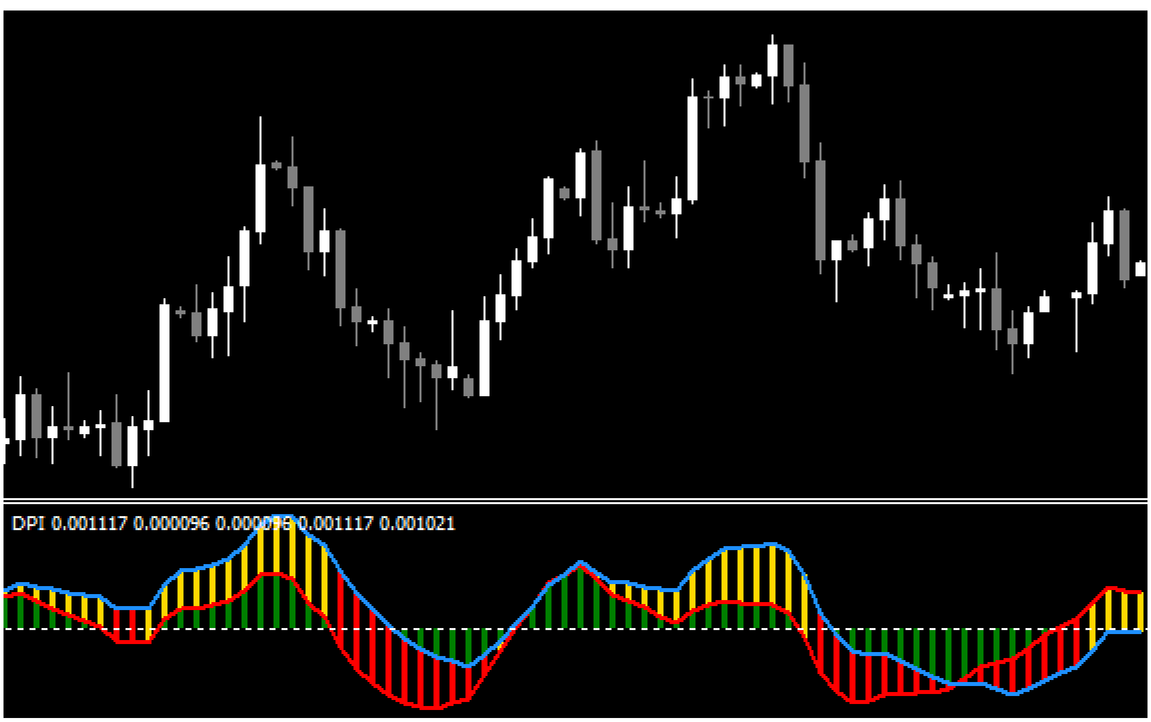
You can start by adding the rrm-black template to a chart and deleting all the indicators but the DPI

OR

Start with a blank chart and add only the DPI.

This will help you get to know the rules of the LLT. After you are familiar with how it works, you can trade this on the RRM charts without any trouble.

To begin with, your chart will look something like this:



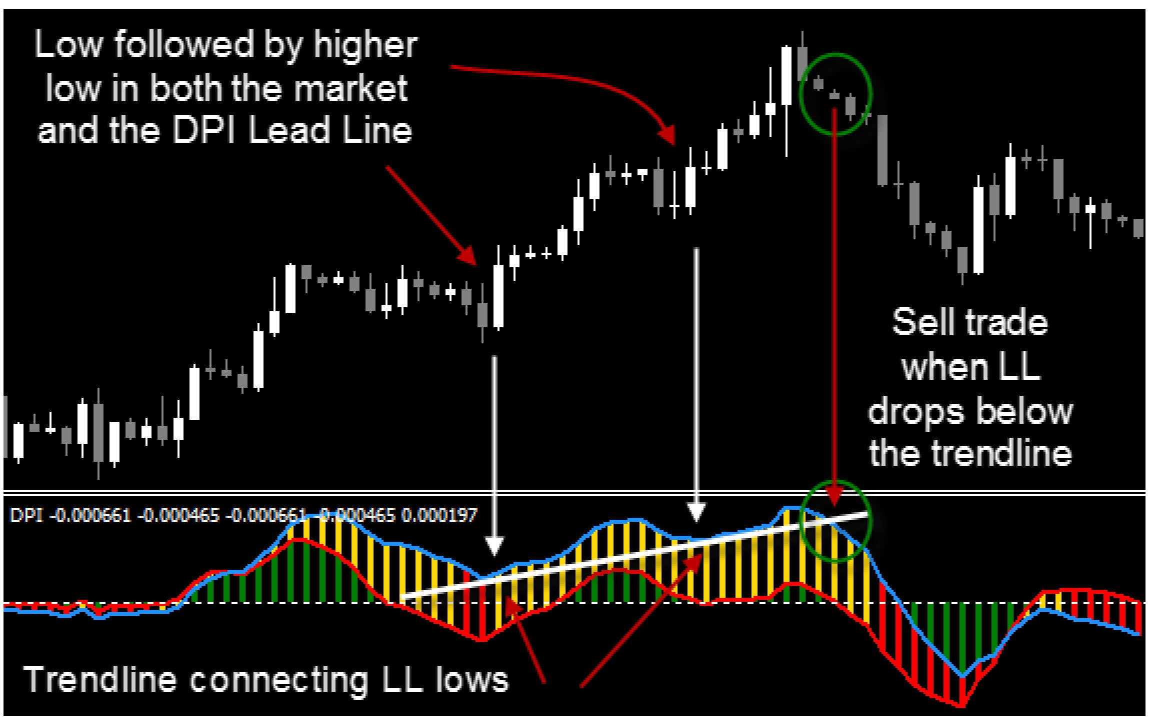
Short Trades

A short trade, or a sell trade, will be against a market that is rising. The market doesn't have to be in an established uptrend, but we do need to see a low in the market followed by a higher low.

We also need to see similar lows on the DPI. The Lead line must have a low followed by a higher low. These lows will be a reflection of the higher lows in the market.

Price – low followed by a higher low
DPI – low followed by a higher low

The trendline we draw will connect the lows on the blue Lead Line (LL) on the DPI. When the Lead Line (LL) falls below the trendline, we have a sell signal.



- **Short Trade Management:**

Because the signals happen very early, we will often get a signal to go short before the PSAR changes sides, so when this happens, using it as an initial stop loss will be impossible.

- **Stop Loss**

We will place our stop loss over the most recent high in the market. The PSAR will generally still be on the wrong side of the market, so to keep from getting distracted, we have temporarily removed it from our charts.

- **Take Profit / Managing the Trade**

There are a few ways to manage the trade from here. We can manage the trade using the PSAR dots. The dots won't immediately appear for us to use, but as the market moves and they do flip up to the top of the candles, we can then use them to move our stop loss downwards.

Our exit strategy will be a similar exit to the RRM rules, again we have some options:

- We can use the 1:1 reward to risk ratio.
- We can trail our stop along the PSAR (that we've added back to our chart).
- We can exit the trade when the Nested Histogram disappears.
- We can use a 2:1 reward to risk ratio due to the aggressive entry. We are getting into a trade earlier and we might normally, and that gives the market more room to move.

Below you see the same short as above, but in this case we are managing the trade.

Fist we found our entry as the DPI Lead Line crosses below the trendline that we drew on the DPI.

Once we have our entry,

- the stop goes above the recent swing high
- fist exit opportunity will be the 1:1
- second exit opportunity will be 2:1
- third exit opportunity will be the PSAR
- finally the forth opportunity to exit the trade will be when the DPI becomes oversold.

Of course, once you are in the trade, you can manage it anyway you like, from a higher timeframe, use the 13 EMA, however you see fit.

Long Trades

A long trade, or a buy trade, will be against a market that is falling. The market doesn't have to be in an established downtrend, but we do need to see a high in the market followed by a lower high.

We also need to see similar highs on the DPI. The Lead line must have a high followed by a lower high. These highs will be a reflection of the lower highs in the market.

Price – high followed by a lower high
DPI – high followed by a lower high

The trendline we draw will connect the highs on the blue Lead Line (LL) on the DPI. When the Lead Line (LL) rises above the trendline, we have a buy signal.

In the example below, you will see that the PSAR is still on the chart. The entry signal occurs under the dots, this is ok.

- **Long Trade Management:**

Because the signals happen very early, we will often get a signal to go long before the PSAR changes sides, so when this happens, using it as an initial stop loss will be impossible.

- **Stop Loss**

We will place our stop loss under the most recent low in the market. The PSAR will generally still be on the wrong side of the market, so to keep from getting distracted, we have temporarily removed it from our charts.

- **Take Profit / Managing the Trade**

There are a few ways to manage the trade from here. We can manage the trade using the PSAR dots. The dots won't immediately appear for us to use, but as the market moves and they do flip down under the candles, we can then use them to move our stop loss upwards.

Our exit strategy will be a similar exit to the RRM rules, again we have some options:

- We can use the 1:1 reward to risk ratio.
- We can trail our stop along the PSAR (the we've added back to our chart).
- We can exit the trade when the Nested Histogram disappears.
- We can use a 2:1 reward to risk ratio due to the aggressive entry. We are getting into a trade earlier and we might normally, and that gives the market more room to move.

Below you see the same long as above, but in this case we are managing the trade.

Fist we found our entry as the DPI Lead Line crosses above the trendline that we drew on the DPI.

Once we have our entry,

- the stop goes below the recent swing low
- fist exit opportunity will be the 1:1
- second exit opportunity will be 2:1
- third exit opportunity will be the PSAR
- finally the forth opportunity to exit the trade will be when the DPI becomes overbought.

Of course, once you are in the trade, you can manage it anyway you like, from a higher timeframe, use the 13 EMA, however you see fit.

The Lead Line Trendline method is built to be an additional feature to the RRM system. The examples I show are without the RRM moving averages, but in the end you will be using it with the full RRM indicator set.

Enjoy the additional system information, happy trading!

Russ Horn